GATE 1: Legal Landscape and Professional Charter

HighStep: Take EdVantage

HighStep is a specialized edtech tutoring marketplace in the Philippines that connects senior high school (SHS) students with top-tier university tutors. The venture is designed to help SHS students handle and master difficult subjects. It also focuses on helping the SHS students to pass College Entrance Tests (CETs) (like UPCAT, DCAT, and ACET). Its primary features include a tutor search where students can easily find a tutor, profile filtering to easily access the tutors that meet the students' demand, automated student preference matching for easier booking, and booking of a schedule so students would know whether the tutor is available or not. Through the venture, it would help empower the SHS students by connecting them with top-tier university tutors; the platform bridges learning gaps and delivers personalized academic guidance.

Through the venture, it helps and aligns with the following Sustainable Development Goals (SDGs):

SDG 4 (Quality Education): HighStep expands students' access to academic support, college preparation resources (structured CET prep), and peer mentorship. By connecting students with reliable academic tutors, it will help them engage more in education and empower them by having someone to rely on in terms of their difficulties in any subject.

SDG 8 (Decent Work and Economic Growth): HighStep acts as an income-generating engine for qualified tutors. The venture will not just help the SHS students learn but also every individual who meets the criteria to tutor the senior high school students. It would provide a flexible micro-employment where the tutors can work on their own time and have fair income opportunities.

To ensure HighStep: Take EdVantage compliance and alignment with the regulations; the table outlines the key Philippine laws that will govern the venture as an online marketplace:

Regulatory Landscape Table

Law/ Regulation	Type	Enforcing Officier	Venture Compliant Requirements	Violation Liability Type
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			IDs and academic record) - Enforce data encryption	
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Overall, HighVantage Inc. has fully satisfied all regulatory and ethical requirements for Gate 1. The venture complies with relevant Philippine laws such as data privacy, cybercrime prevention, e-commerce, corporate regulations, and education guidelines while still committing to strict professional standards and an ethics charter. By mapping our online tutoring marketplace to core Philippine statutory laws and established DepEd/CHED safety guidelines, we ensure total regulatory compliance and protection for our student-users. With a clear regulatory framework and a binding ethics charter in place, HighVantage Inc. is fully equipped to finalize its SEC, NPC, and DTI registrations as we advance toward platform launch.

Gate 2: Corporate Form and IT Organization

1. Corporate Form Comparison

HighStep: Take Edvantage - Is an online tutoring marketplace that empowers senior high school students to master difficult subjects and help them pass college entrance exams by connecting them with top-tier tutors.

Criteria	Sole Proprietorship	One Person Corporation	Stock Corporation
Liability	Unlimited. The owner is personally liable for all debts and claims.	Limited to the amount invested in the corporation	Limited to each shareholder's subscribed capital.
Ability to raise capital	Very limited. Relies on the owner's savings and personal loans.	Limited. Only one stockholder, so no outside investors can buy shares.	Strong. Can issue shares to founders, angel investors, and venture funds.
Registration	DTI (business name registration), plus LGU and BIR	SEC	SEC

Our choice: Stock Corporation.

· **Funding fit:** Our plan is to fund the platform build, tutor onboarding, and marketing through seed investors. Investors need shares to buy, which only a stock corporation can offer.

· **Limited liability:** The founders' personal assets are protected if the company is sued, for example, over a data breach or a tutor dispute.

· **Credibility:** Schools, parents, and payment partners are more likely to trust a registered corporation than an individual.

· **Scalability:** Shares let us bring in new owners, give employees stock options, and raise further rounds as we grow.

2. IT Organizational Chart

Structure model used: Functional. Teams are grouped by specialty (technology, operations, finance, support). This suits an early-stage startup because it keeps skills together, makes reporting lines clear, and avoids the overhead of a matrix.

Note on separated duties:

- **Development vs. Quality Assurance:** Developers do not approve their own code. A separate QA team tests it before release, which catches errors and bugs that could harm students' learning sessions.
- **Payment handling vs. platform administration:** Staff who release tutor payouts cannot edit tutor or student records. This lowers the risk of fraud and fake payouts.
- **DPO vs. IT:** The DPO reports to the Board, not the CTO, so privacy checks stay independent. This matters because many of our users are minors, and we must comply with the Data Privacy Act (RA 10173).
- **Infrastructure and Security vs. Development:** The people who manage production servers and access rights are not the same people who write the code. This prevents one person from changing code and pushing it live unchecked, and it limits the damage if a developer's account is compromised.

3. Outsourcing Note

HighStep: Take Edvantage strategically and outsources certain non-core technical and operational capabilities to maintain a high degree of operational agility and baseline security standards.

For student collections, e-wallet transactions (GCash/Maya), and tutor disbursements, we specifically outsource our payment processing to secure payment gateways (like PayMongo or Xendit). We contract with managed cloud providers (like AWS or Google Cloud) to handle

database administration and cloud infrastructure hosting. Corporate regulatory filings, tax compliance, and contract verification with the SEC and BIR are also handled by outside legal counsel and CPA firms.

Important security, focus, and financial efficiency are provided by outsourcing these functions. Internal digital financial transaction security necessitates a substantial PCI-DSS compliance infrastructure; third-party processing enables us to take advantage of enterprise fraud prevention without incurring significant capital costs. Our core engineering team can fully concentrate on developing proprietary applications, tutor matching logic, and platform UX enhancements by delegating hardware management and server uptime. This structurally transforms high fixed labor overhead into variable operating expenses that grow in tandem with revenue.

Three crucial clauses must be included in all our third-party vendor contracts: To safeguard our company, our outsourcing contracts must contain three essential clauses.

To ensure compliance with Republic Act No. 10173 (Data Privacy Act of 2012), which requires vendors to process student and tutor data only at our request, keep all data confidential, and promptly notify us of any data security incidents, there should first be a Data Protection and Confidentiality Clause (DPA/NDA) that must be strictly enforced.

Second, incorporate a strong Performance Measures Clause and Service Level Agreement (SLA) that guarantee minimum service requirements, like 99.9% uptime for cloud systems and payment channels, with clear technical response windows and financial penalty remedies for breaching performance thresholds.

Lastly, the Intellectual Property (IP) Rights and Ownership clause must expressly declare that HighStep: Take Edvantage is the exclusive owner of all custom source code, proprietary algorithms, user profile data, and instructional content created during the partnership, and that the vendor is not permitted to reuse or resell such contents.

Gate Checklist

- A corporate form that fits our Gate 3 funding source: Stock Corporation, funded by investors buying shares.
- The structure model we used: Functional.

Laws, Rules and Frameworks Consulted -

- RA 11232, Revised Corporation Code of the Philippines
- RA 9520, Philippine Cooperative Code of 2008
- RA 10667, Philippine Competition Act
- RA 10173, Data Privacy Act of 2012 (supporting reference for the DPO and outsourcing clauses)

Gate 3: HighStep Business Plan and Investment Case

1. **Business Plan Summary**
    - **Problem:** Students in grades 11 and 12 have trouble with challenging coursework and entrance exams (UPCAT, ACET, DCAT, USTET). Finding good tutors is difficult, and the quality varies.
    - **Solution:** online marketplace with clear profiles, ratings, safe payment, and video sessions that links students with qualified tutors.
    - **Target market:** Exam-bound, online-ready Grade 11–12 students in Metro Manila and Calabarzon (roughly 150,000, to be confirmed); tutors make money, and parents pay.
    - **Revenue model:** 20% commission on a ₱500 session = ₱100 per session; tutor gets ₱400.
    - **MVP to scale:**
        i. **Year 0:** MVP with math, science, and English; 30 tutors, 50 pilot students
        ii. **Year 1:** public launch, 8,000 sessions, 40 tutors
        iii. **Year 2:** exam bundles, school partnerships, 40,000 sessions, 120 tutors
        iv. **Year 3:** more regions, 100,000 sessions, 250 tutors, profitable
    - **Key risks:** slow student acquisition, tutor quality, payment, and data privacy.
2. **Start-up Costs and Funding**
    - **Start-up costs (₱1,000,000):** 600,000 for MVP development; 150,000 for equipment; 80,000 for legal and compliance; 120,000 for brand and launch; and 50,000 for tutor vetting pilot.
    - **Working capital reserve:** ₱2,500,000 (the ₱2,160,000 shortfall for Years 1–2 plus the ₱340,000 contingency).
    - **Total needed:** ₱3,500,000.

- **Funding source:** angel investor ₱3,000,000 for 25% (post-money ₱12M) + founders ₱500,000.
- **Why angel:** no collateral or revenue for a loan; too early for VC; too big to bootstrap.

3. **Financial Tables**
   - **Assumptions:** ₱500 session, 20% commission, payment fees 2.5% of booking value, ₱10 per session hosting and vetting, staff 3/5/8, equipment depreciated over 3 years, tax 25% with loss carry-forward.

₱	Year 1	Year 2	Year 3
Sessions	8,000	40,000	100,000
Net revenue	800,000	4,000,000	10,000,000
Gross profit	620,000	3,100,000	7,750,000
Operating expenses	2,030,000	3,950,000	5,978,000
Net profit (loss)	(1,410,000)	(850,000)	1,772,000
Operating cash flow	(1,360,000)	(800,000)	1,822,000
Closing cash (Year 0: 2,500,000)	1,140,000	340,000	2,162,000

   - **To expand in the full version:** line-by-line P&L, cash flow with Year 0, tax note.
   - **Break-even:** about 77,100 sessions per year.
4. **Investment Appraisal**
   - **Discount rate 20%:** about 6% risk-free + 7% market premium + 7% start-up premium (verify current bond yield).
   - **Cash flows Y0–Y5:** (1,000,000); (1,360,000); (800,000); 1,822,000; 2,634,500; 3,712,500.
   - **Payback:** 3.5 years; discounted payback about 4.2 years**.**

- **NPV at 20%:** ₱1,127,976 (sum of present values 2,127,976 less C_0 1,000,000).
- **Sensitivity:** 15% → 1,762,523; 25% → 628,467; 30% → 232,082; IRR about 33%.
- **Meaning for investor:** return above 20% requirement; capital tied up for about 3.5 years; depends on reaching about 100,000 sessions by Year 3.

Gate 4: People, Equity, and Inclusion

Venture: HighStep: Take Edvantage **Gate Owner:** Chief People Officer (CPO) **Guiding Question:** *Are our workforce policies lawful and inclusive, and is our algorithm fair?*

1. Direct vs. Indirect Discrimination in HighStep

This section outline the legal compliance and establish an inclusive environment setting with accordance in Philippine labor laws and human rights mandates, including the Labor Code of the Philippines, the Magna Carta of Women (R.A. 9710), the Safe Spaces Act (R.A. 11313), along with any ordinance in which forbid discrimination in any workplace. Therefore, HighStep explicitly explain the difference between th*e direct and indirect discrimination treatment,*

- **Direct Discrimination:** Occurs when an individual or group is treated less favorably explicitly due to protected attributes (e.g., gender, age, disability, marital status).
    - *HighStep Application:* Disqualifying an applicant for a Senior STEM Tutor role simply because she is female or pregnant (violating RA 9710 / Magna Carta of Women) or setting an explicit age cap of "21–25 years old" in job postings (violating RA 10911 / Anti-Age Discrimination in Employment Act).
- **Indirect (Systemic) Discrimination:** Occurs when an apparently neutral rule, policy, or algorithmic criterion disproportionately disadvantages a protected group without being a Bona Fide Occupational Qualification (BFOQ).
    - *HighStep Application:* Requiring tutors to possess a minimum internet upload speed of 50 Mbps combined with a mandatory high-end gaming laptop setup. While appearing neutral, this implicitly excludes qualified tutors residing in rural

regions or low-income households, creating systemic geographic and socio-economic exclusion.

HR Policy Highlights

A. Inclusive Recruitment & Hiring

HighStep applies a merit-based recruitment process based on competencies and subject-matter expertise. Application forms refrain from requesting age, date of birth, marital status, religion, photo uploads, or family background.

Sample Inclusive Job Advertisement
Role Title: Senior High School STEM Tutor (Part-Time / Independent Contractor) **Platform:** HighStep Online Tutoring Marketplace **Location:** Remote (Philippines)

About HighStep: HighStep: Take Edvantage empowers Senior High School (SHS) students across the Philippines to master challenging subjects (STEM, ABM, HUMSS) and pass top college entrance examinations (UPCAT, ACET, USTET, DCAT). We foster an equitable, inclusive, and highly collaborative environment for learning and teaching.

Key Responsibilities:

- Conduct engaging, high-quality 1-on-1 and small-group online tutoring sessions for Grade 11–12 subjects (Calculus, Physics, Chemistry) and College Entrance Test (CET) prep.
- Provide constructive feedback and tailored study strategies to learners.
- Utilize HighStep's interactive digital whiteboard and learning management tools.

Qualifications & Competencies:

- Proven mastery of SHS STEM subjects or college entrance exam preparation content.
- Strong verbal and written communication skills in English and/or Filipino.
- Ability to adapt teaching methods to accommodate diverse learner needs and styles.
- Access to a functional computer/laptop and a stable internet connection.

Equal Opportunity Statement: HighStep welcomes applicants of all backgrounds, genders, ages, religions, physical abilities, and socio-economic statuses. In compliance with **RA 10911**

(Anti-Age Discrimination in Employment Act), **RA 9710 (Magna Carta of Women)**, and **RA 7277 (Magna Carta for Disabled Persons)**, recruitment decisions are based solely on merit, skill, and professional capability. Reasonable accommodations during testing and interviews are provided upon request.

B. Telecommuting, Work Hours & After-Hours Deployments

Anchored on **RA 11165 (Telecommuting Act of 2018)** and the **Labor Code of the Philippines (PD 442)**:

- **Telecommuting Agreement:** All regular and core remote employees sign a formal Telecommuting Agreement outlining work expectations, performance metrics, data privacy standards, and IT support.
- **Equal Treatment:** Remote workers receive identical rates of pay, leave entitlements, bonus opportunities, and promotion pathways as any on-site counterparts.
- **Right to Disconnect & Overtime:** HighStep establishes a strict "Right to Disconnect" policy. Core employees are not obligated to answer communications (Slack, emails, messages) outside agreed duty hours. Overtime or night shift work (10:00 PM to 6:00 AM) requires prior written supervisor approval and is compensated with required overtime/night shift differential pay pursuant to Arts. 86–87 of the Labor Code.

C. Anti-Discrimination & Anti-Harassment (Safe Spaces Act)

In compliance with **RA 11313 (Safe Spaces Act)**, **RA 9710**, and **RA 7277**:

- **Zero-Tolerance Policy:** Action such as, sexual harassment, gender-based online sexual harassment (GBOSH), bullying, or discriminatory slurs, whether it made directed at co-workers, tutors, or SHS students, this will result in immediate investigation and potential termination/ban in the contreact.
- **Committee on Decorum and Investigation (CODI):** HighStep maintains a designated CODI composed of management, employee, and platform user/tutor representatives. At least one-half of the CODI members are women.
- **Reporting & Redress:** A confidential portal handles reports within 48 hours. Secure digital logs, screenshots, and audio/video recordings from session rooms are reviewed preserving privacy and due process.

D. Separation with Due Process

For regular employees, HighStep strictly adheres to the "Two-Notice Rule" under Philippine labor ruling for both just and authorized causes:

JUST CAUSES (Art. 282, Labor Code)

1. First Written Notice (Notice to Explain)

• Details specific charges/offenses.

• Grants minimum 5 calendar days to respond.

2. Administrative Hearing / Conference

• Gives employee full opportunity to present

• Evidence & assistance of counsel/rep

3. Second Written Notice (Notice of Decision)

• Articulates findings & legal/factual bases

• Declares appropriate disciplinary measures.

● **Authorized Causes (Art. 283):** In cases of redundancy,, a 30-day prior written notice is served to both the employee and the Department of Labor and Employment (DOLE), accompanied by mandatory statutory separation pay.

3. Worker Classification Table

To prevent misclassification exposure under the **Four-Fold Test** established by the Supreme Court of the Philippines (*Selection, Payment of Wages, Power of Dismissal, and Power of Control*), HighStep structures its workforce as follows:

Role	Classification	Legal Justification (Four-Fold Test Analysis)
Full-Stack Software Engineer	Regular Employee	**High Control & Core Business Function:** Subject to direct control over code reviews, sprint hours, daily standups, and tool choices; paid fixed monthly salary with statutory benefits (SSS, PhilHealth, Pag-IBIG).
Customer Support Representative	Regular Employee	**Control & Economic Dependence:** Works fixed

		shifts, follows standard operating protocols/scripts, uses company software licenses, and is integrated directly into daily operations
Quality Assurance / Pedagogy Lead	Regular Employee	**Direct Supervision:** Evaluates tutor curricula, conducts regular performance assessments, and holds authority over platform quality standards under direct supervision of CPO/Head of Academics.
SHS & CET Marketplace Tutor	Regular Employee	**Flexibility & Lack of Control over Manner/Means:** Tutors retain complete freedom to set their own availability, select hourly rates, choose pedagogical strategies, and accept or decline session requests. Paid per completed session on a fee-for-service basis via the platform.
Subject Matter Content Reviewer (Per Project)	Regular Employee	**Project-Based Result Control:** Engaged via a Specific Service Agreement to audit test prep modules by a specific deadline. Paid a lump-sum project fee upon delivery of satisfactory output; works independently without daily supervision.

4. Algorithm Fairness Check

HighStep Matchmaker & Tutor Ranking Algorithm

HighStep utilizes an automated recommendation and search-ranking algorithm (**Matchmaker**

AI) that matches SHS students with tutors based on subject matter, availability, pricing, past ratings, and learning preferences.

1. **Geographic & Infrastructure Bias (Location/Connectivity):**
    - *Risk:* Metrics penalizing tutors for latency, minor dropouts, or response delays disadvantage tutors living in provincial regions with poorer broadband infrastructure.
2. **Gender Stereotyping & Historical Bias:**
    - *Risk:* Historical user ratings may exhibit unconscious bias (e.g., male tutors rated higher in Advanced Calculus/Physics; female tutors rated higher in Languages/HUMSS). Using raw historical conversion data can perpetuate gender-segregated subject rankings.
3. **Age Bias in Profile Engagement:**
    - *Risk:* Visual profile elements or age proxies (e.g., graduation year) might lead to algorithmically downgrading older educators in favor of younger college-student tutors under the assumption that students prefer younger mentors.

Audit, Testing, and De-Biasing Strategy

HighStep executes a robust, ongoing audit framework to identify and eliminate algorithmic bias:

- **Disparate Impact Ratio Testing:** The Data & HR teams conduct monthly audits measuring tutor visibility, session match rates, and conversion ratios across demographic groups (gender, age bracket, regional location). If the selection/match rate for any group falls below **80% (4/5ths rule)** of the highest group, an algorithmic review is automatically triggered.
- **Feature Blindness & Rating Normalization:**
    - Demographic variables (age, gender, photo, specific address) are strictly excluded from input vector features in the ranking model.
    - User ratings are adjusted using a sentiment-neutralizing baseline algorithm that accounts for customer rating drift and outliers.

Human Review & Appeal Process

HighStep guarantees human oversight to prevent unappealable algorithmic decisions:

1. **Transparency & Notification:** Tutors whose accounts face suspension, de-ranking, or badge removal due to automated metrics receive a clear, plain-language notification detailing the specific performance indicators involved.
2. **Right to Appeal:** Tutors may submit an appeal directly through their dashboard within 7 calendar days, providing context (e.g., technical issues caused by ISP outages, unfair student ratings).
3. **Human Appeals Panel:** An appeals committee (consisting of an Operations Lead and an HR Representative) manually reviews session logs, chat transcripts, and internet stability reports. The committee holds the authority to override algorithmic penalties, restore tutor visibility, and adjust ratings within 5 business days.

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Guiding question: What legal entity are we, and how is our IT division organized?

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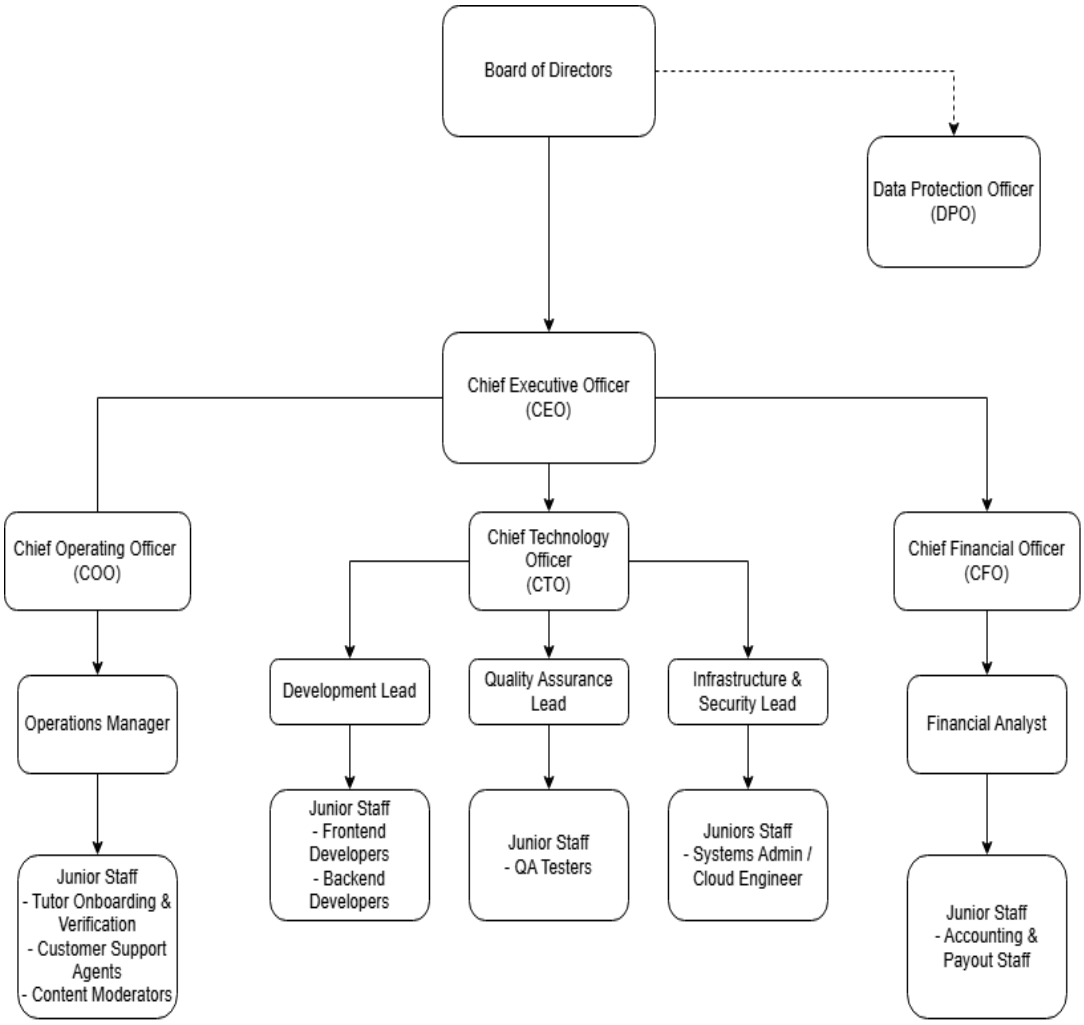
Criteria	Sole Proprietorship	One Person Corporation	Stock Corporation
Liability	Unlimited. The owner is personally liable for all debts and claims.	Limited to the amount invested in the corporation	Limited to each shareholder's subscribed capital.
Ability to raise capital	Very limited. Relies on the owner's savings and personal loans.	Limited. Only one stockholder, so no outside investors can buy shares.	Strong. Can issue shares to founders, angel investors and venture funds.
Registration	DTI (business name registration), plus LGU and BIR	SEC	SEC

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- **Scalability:** Shares let us bring in new owners, give employees stock options and raise further rounds as we grow.

2. IT Organizational Chart

Structure model used: Functional. Teams are grouped by specialty (technology, operations, finance, support). This suits an early-stage startup because it keeps skills together, makes reporting lines clear and avoids the overhead of a matrix.



Note on separated duties:

- **Development vs. Quality Assurance:** Developers do not approve their own code. A separate QA team tests it before release, which catches errors and bugs that could harm students' learning sessions.
- **Payment handling vs. platform administration:** Staff who release tutor payouts cannot edit tutor or student records. This lowers the risk of fraud and fake payouts.
- **DPO vs. IT:** The DPO reports to the Board, not the CTO, so privacy checks stay independent. This matters because many of our users are minors, and we must comply with the Data Privacy Act (RA 10173).
- **Infrastructure and Security vs. Development:** The people who manage production servers and access rights are not the same people who write the code. This prevents

one person from changing code and pushing it live unchecked, and it limits the damage if a developer's account is compromised.

3. Outsourcing Note

HighStep: Take Edvantage strategically outsources certain non-core technical and operational capabilities to maintain a high degree of operational agility and baseline security standards.

For student collections, e-wallet transactions (GCash/Maya), and tutor disbursements, we specifically outsource our payment processing to secure payment gateways (like PayMongo or Xendit). We contract with managed cloud providers (like AWS or Google Cloud) to handle database administration and cloud infrastructure hosting. Corporate regulatory filings, tax compliance, and contract verification with the SEC and BIR are also handled by outside legal counsel and CPA firms.

Important security, focus, and financial efficiency are provided by outsourcing these functions. Internal digital financial transaction security necessitates a substantial PCI-DSS compliance infrastructure; third-party processing enables us to take advantage of enterprise fraud prevention without incurring significant capital costs. Our core engineering team can fully concentrate on developing proprietary applications, tutor matching logic, and platform UX enhancements by delegating hardware management and server uptime. This structurally transforms high fixed labor overhead into variable operating expenses that grow in tandem with revenue.

Three crucial clauses must be included in all our third-party vendor contracts: To safeguard our company, our outsourcing contracts must contain three essential clauses.

To ensure compliance with Republic Act No. 10173 (Data Privacy Act of 2012), which requires vendors to process student and tutor data only at our request, keep all data confidential, and promptly notify us of any data security incidents, there should first be a Data Protection and Confidentiality Clause (DPA/NDA) that must be strictly enforced.

Second, incorporate a strong Performance Measures Clause and Service Level Agreement (SLA) that guarantee minimum service requirements, like 99.9% uptime for cloud systems and payment channels, with clear technical response windows and financial penalty remedies for breaching performance thresholds.

Lastly, the Intellectual Property (IP) Rights and Ownership clause must expressly declare that HighStep: Take Edvantage is the exclusive owner of all custom source code, proprietary algorithms, user profile data, and instructional content created during the partnership, and that the vendor is not permitted to reuse or resell such contents.

Gate Checklist

- A corporate form that fits our Gate 3 funding source: Stock Corporation, funded by investors buying shares.

- The structure model we used: Functional.

Laws, Rules and Frameworks Consulted

- RA 11232, Revised Corporation Code of the Philippines
- RA 9520, Philippine Cooperative Code of 2008
- RA 10667, Philippine Competition Act
- RA 10173, Data Privacy Act of 2012 (supporting reference for the DPO and outsourcing clauses)

Gate 3: HighStep Business Plan and Investment Case

1. **Business Plan Summary**
    - **Problem:** Students in grades 11 and 12 have trouble with challenging coursework and entrance exams (UPCAT, ACET, DCAT, USTET). Finding good tutors is difficult, and the quality varies.
    - **Solution:** online marketplace with clear profiles, ratings, safe payment, and video sessions that links students with qualified tutors.
    - **Target market:** Exam-bound, online-ready Grade 11–12 students in Metro Manila and Calabarzon (roughly 150,000, to be confirmed); tutors make money, and parents pay.
    - **Revenue model:** 20% commission on a ₱500 session = ₱100 per session; tutor gets ₱400.
    - **MVP to scale:**
        i. **Year 0:** MVP with math, science, and English; 30 tutors, 50 pilot students
        ii. **Year 1:** public launch, 8,000 sessions, 40 tutors
        iii. **Year 2:** exam bundles, school partnerships, 40,000 sessions, 120 tutors
        iv. **Year 3:** more regions, 100,000 sessions, 250 tutors, profitable
    - **Key risks:** slow student acquisition, tutor quality, payment, and data privacy.
2. **Start-up Costs and Funding**
    - **Start-up costs (₱1,000,000):** 600,000 for MVP development; 150,000 for equipment; 80,000 for legal and compliance; 120,000 for brand and launch; and 50,000 for tutor vetting pilot.
    - **Working capital reserve:** ₱2,500,000 (the ₱2,160,000 shortfall for Years 1–2 plus the ₱340,000 contingency).
    - **Total needed:** ₱3,500,000.
    - **Funding source:** angel investor ₱3,000,000 for 25% (post-money ₱12M) + founders ₱500,000.
    - **Why angel:** no collateral or revenue for a loan; too early for VC; too big to bootstrap.

3. **Financial Tables**
    - **Assumptions:** ₱500 session, 20% commission, payment fees 2.5% of booking value, ₱10 per session hosting and vetting, staff 3/5/8, equipment depreciated over 3 years, tax 25% with loss carry-forward.

₱	Year 1	Year 2	Year 3
Sessions	8,000	40,000	100,000
Net revenue	800,000	4,000,000	10,000,000
Gross profit	620,000	3,100,000	7,750,000
Operating expenses	2,030,000	3,950,000	5,978,000
Net profit (loss)	(1,410,000)	(850,000)	1,772,000
Operating cash flow	(1,360,000)	(800,000)	1,822,000
Closing cash (Year 0: 2,500,000)	1,140,000	340,000	2,162,000

    - **To expand in the full version:** line-by-line P&L, cash flow with Year 0, tax note.
    - **Break-even:** about 77,100 sessions per year.
4. **Investment Appraisal**
    - **Discount rate 20%:** about 6% risk-free + 7% market premium + 7% start-up premium (verify current bond yield).
    - **Cash flows Y0–Y5:** (1,000,000); (1,360,000); (800,000); 1,822,000; 2,634,500; 3,712,500.
    - **Payback:** 3.5 years; discounted payback about 4.2 years**.**
    - **NPV at 20%:** ₱1,127,976 (sum of present values 2,127,976 less C_0 1,000,000).
    - **Sensitivity:** 15% → 1,762,523; 25% → 628,467; 30% → 232,082; IRR about 33%.
    - **Meaning for investor:** return above 20% requirement; capital tied up for about 3.5 years; depends on reaching about 100,000 sessions by Year 3.

Gate 4: People, Equity, and Inclusion

Venture: HighStep: Take Edvantage **Gate Owner:** Chief People Officer (CPO) **Guiding Question:** *Are our workforce policies lawful and inclusive, and is our algorithm fair?*

1. Direct vs. Indirect Discrimination in HighStep

To ensure legal compliance and build an inclusive workplace culture under Philippine law, HighStep explicitly distinguishes between direct and indirect (systemic) discrimination across both human resource operations and algorithmic processes:

- **Direct Discrimination:** Occurs when an individual or group is treated less favorably explicitly due to protected attributes (e.g., gender, age, disability, marital status).
    - *HighStep Application:* Disqualifying an applicant for a Senior STEM Tutor role simply because she is female or pregnant (violating RA 9710 / Magna Carta of Women) or setting an explicit age cap of "21–25 years old" in job postings (violating RA 10911 / Anti-Age Discrimination in Employment Act).
- **Indirect (Systemic) Discrimination:** Occurs when an apparently neutral rule, policy, or algorithmic criterion disproportionately disadvantages a protected group without being a Bona Fide Occupational Qualification (BFOQ).
    - *HighStep Application:* Requiring tutors to possess a minimum internet upload speed of 50 Mbps combined with a mandatory high-end gaming laptop setup. While appearing neutral, this implicitly excludes qualified tutors residing in rural regions or low-income households, creating systemic geographic and socio-economic exclusion.

2. HR Policy Highlights

A. Inclusive Recruitment & Hiring

HighStep enforces a merit-based recruitment process anchored on competencies and subject-matter expertise. Application forms refrain from requesting age, date of birth, marital status, religion, photo uploads, or family background.

Sample Inclusive Job Advertisement

Role Title: Senior High School STEM Tutor (Part-Time / Independent Contractor) **Platform:** HighStep Online Tutoring Marketplace **Location:** Remote (Philippines)

About HighStep: HighStep: Take Edvantage empowers Senior High School (SHS) students across the Philippines to master challenging subjects (STEM, ABM, HUMSS) and pass top college entrance examinations (UPCAT, ACET, USTET, DCAT). We foster an equitable, inclusive, and highly collaborative environment for learning and teaching.

Key Responsibilities:

- Conduct engaging, high-quality 1-on-1 and small-group online tutoring sessions for Grade 11–12 subjects (Calculus, Physics, Chemistry) and College Entrance Test (CET) prep.
- Provide constructive feedback and tailored study strategies to learners.
- Utilize HighStep's interactive digital whiteboard and learning management tools.

Qualifications & Competencies:

- Proven mastery of SHS STEM subjects or college entrance exam preparation content.
- Strong verbal and written communication skills in English and/or Filipino.
- Ability to adapt teaching methods to accommodate diverse learner needs and styles.
- Access to a functional computer/laptop and a stable internet connection.

Equal Opportunity Statement: HighStep welcomes applicants of all backgrounds, genders, ages, religions, physical abilities, and socio-economic statuses. In compliance with **RA 10911 (Anti-Age Discrimination in Employment Act)**, **RA 9710 (Magna Carta of Women)**, and **RA 7277 (Magna Carta for Disabled Persons)**, recruitment decisions are based solely on merit, skill, and professional capability. Reasonable accommodations during testing and interviews are provided upon request.

B. Telecommuting, Work Hours & After-Hours Deployments

Anchored on **RA 11165 (Telecommuting Act of 2018)** and the **Labor Code of the Philippines (PD 442)**:

- **Telecommuting Agreement:** All regular and core remote employees sign a formal Telecommuting Agreement outlining work expectations, performance metrics, data privacy standards, and IT support.
- **Equal Treatment:** Remote workers receive identical rates of pay, leave entitlements, bonus opportunities, and promotion pathways as any on-site counterparts.
- **Right to Disconnect & Overtime:** HighStep establishes a strict "Right to Disconnect" policy. Core employees are not obligated to answer communications (Slack, emails, messages) outside agreed duty hours. Overtime or night shift work (10:00 PM to 6:00 AM) requires prior written supervisor approval and is compensated with required overtime/night shift differential pay pursuant to Arts. 86–87 of the Labor Code.

C. Anti-Discrimination & Anti-Harassment (Safe Spaces Act)

In compliance with **RA 11313 (Safe Spaces Act)**, **RA 9710**, and **RA 7277**:

- **Zero-Tolerance Policy:** Sexual harassment, gender-based online sexual harassment (GBOSH), bullying, or discriminatory slurs—whether directed at co-workers, tutors, or SHS students—result in immediate investigation and potential termination/ban.
- **Committee on Decorum and Investigation (CODI):** HighStep maintains a designated CODI composed of management, employee, and platform user/tutor representatives. At least one-half of the CODI members are women.
- **Reporting & Redress:** A confidential portal handles reports within 48 hours. Secure digital logs, screenshots, and audio/video recordings from session rooms are reviewed preserving privacy and due process.

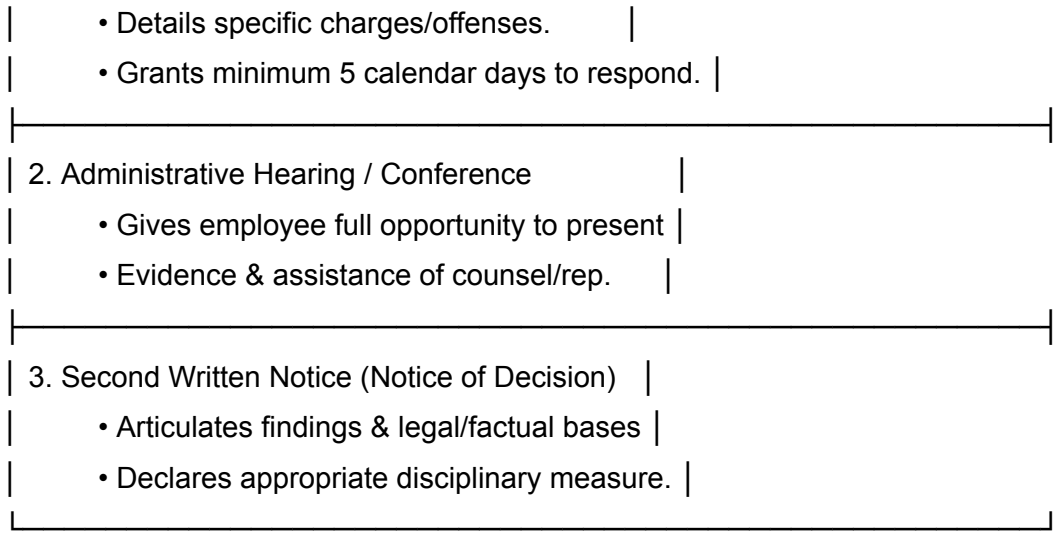
D. Separation with Due Process

For regular employees, HighStep strictly adheres to the "Two-Notice Rule" under Philippine labor jurisprudence for both just and authorized causes:

JUST CAUSES (Art. 282, Labor Code)

┌──┐

│ 1. First Written Notice (Notice to Explain) │



- **Authorized Causes (Art. 283):** In cases of redundancy or retrenchment, a 30-day prior written notice is served to both the employee and the Department of Labor and Employment (DOLE), accompanied by mandatory statutory separation pay.

3. Worker Classification Table

To prevent misclassification exposure under the **Four-Fold Test** established by the Supreme Court of the Philippines (*Selection, Payment of Wages, Power of Dismissal, and Power of Control*), HighStep structures its workforce as follows:

Role	Classification	Legal Justification (Four-Fold Test Analysis)
Full-Stack Software Engineer	Regular Employee	**High Control & Core Business Function:** Subject to direct control over code reviews, sprint hours, daily standups, and tool choices; paid fixed monthly salary with statutory benefits (SSS, PhilHealth, Pag-IBIG).
Customer Support Representative	Regular Employee	**Control & Economic Dependence:** Works fixed

		shifts, follows standard operating protocols/scripts, uses company software licenses, and is integrated directly into daily operations
Quality Assurance / Pedagogy Lead		**Direct Supervision:** Evaluates tutor curricula, conducts regular performance assessments, and holds authority over platform quality standards under direct supervision of CPO/Head of Academics.
SHS & CET Marketplace Tutor		**Flexibility & Lack of Control over Manner/Means:** Tutors retain complete freedom to set their own availability, select hourly rates, choose pedagogical strategies, and accept or decline session requests. Paid per completed session on a fee-for-service basis via the platform.
Subject Matter Content Reviewer (Per Project)		**Project-Based Result Control:** Engaged via a Specific Service Agreement to audit test prep modules by a specific deadline. Paid a lump-sum project fee upon delivery of satisfactory output; works independently without daily supervision.

4. Algorithm Fairness Check

HighStep Matchmaker & Tutor Ranking Algorithm

Automated Decision: HighStep utilizes an automated recommendation and search-ranking algorithm (**Matchmaker AI**) that matches SHS students with tutors based on subject matter, availability, pricing, past ratings, and learning preferences.

1. **Geographic & Infrastructure Bias (Location/Connectivity):**
    - *Risk:* Metrics penalizing tutors for latency, minor dropouts, or response delays disadvantage tutors living in provincial regions with poorer broadband infrastructure.
2. **Gender Stereotyping & Historical Bias:**
    - *Risk:* Historical user ratings may exhibit unconscious bias (e.g., male tutors rated higher in Advanced Calculus/Physics; female tutors rated higher in Languages/HUMSS). Using raw historical conversion data can perpetuate gender-segregated subject rankings.
3. **Age Bias in Profile Engagement:**
    - *Risk:* Visual profile elements or age proxies (e.g., graduation year) might lead to algorithmically downgrading older educators in favor of younger college-student tutors under the assumption that students prefer younger mentors.

Audit, Testing, and De-Biasing Strategy

HighStep executes a robust, ongoing audit framework to identify and eliminate algorithmic bias:

- **Disparate Impact Ratio Testing:** The Data & HR teams conduct monthly audits measuring tutor visibility, session match rates, and conversion ratios across demographic groups (gender, age bracket, regional location). If the selection/match rate for any group falls below **80% (4/5ths rule)** of the highest group, an algorithmic review is automatically triggered.
- **Feature Blindness & Rating Normalization:**
    - Demographic variables (age, gender, photo, specific address) are strictly excluded from input vector features in the ranking model.
    - User ratings are adjusted using a sentiment-neutralizing baseline algorithm that accounts for customer rating drift and outliers.

Human Review & Appeal Process

HighStep guarantees human oversight to prevent unappealable algorithmic decisions:

Transparency & Notification: Tutors whose accounts face suspension, de-ranking, or badge removal due to automated metrics receive a clear, plain-language notification detailing the specific performance indicators involved.

1. **Right to Appeal:** Tutors may submit an appeal directly through their dashboard within 7 calendar days, providing context (e.g., technical issues caused by ISP outages, unfair student ratings).
2. **Human Appeals Panel:** An appeals committee (consisting of an Operations Lead and an HR Representative) manually reviews session logs, chat transcripts, and internet stability reports. The committee holds the authority to override algorithmic penalties, restore tutor visibility, and adjust ratings within 5 business days.